

Multiple Choice (10 marks)

1. ABC Corporation had a 1976 net income of \$1,000,000. If ABC pays 50% taxes, what was its income before taxes?
 - (a) \$2,250,000
 - (b) \$2,750,000
 - (c) \$2,000,000
 - (d) \$1,200,000
 - (e) \$3,000,000
2. Find the total sale in a gas station if a motorist purchases 13 $(6/10)$ gallons of gas at .539 a gallon and 2 quarts of oil at 1.10 a quart.
 - (a) \$4.99
 - (b) \$8.45
 - (c) \$10.53
 - (d) \$11.59
 - (e) \$6.78
3. ABC Trucking Company charges a rate of \$.084 per pound to transport equipment from New York City to Albany. What would they charge to ship a 275-pound washing machine?
 - (a) \$25.50
 - (b) \$22.90
 - (c) \$26.80
 - (d) \$24.30
 - (e) \$23.10
4. James Higley deposits \$2,000 for 2 years in an account that pays 4% per year, compounded quarterly. How much will accumulate, assuming James does not withdraw any of the interest?
 - (a) \$2,128.64
 - (b) \$2,080.00
 - (c) \$2,081.60
 - (d) \$2,200.00

- (e) \$2,100.00
5. What is not an advantage of a hierarchical structure?
- (a) Clear responsibilities and roles
 - (b) Discipline and stability
 - (c) Quick response to change
 - (d) Clear chain of command
 - (e) Promotion opportunities

True / False (10 marks)

Answer True or False

- 6. True or False: The selling price of the stock is 103.5% of its original cost after a gain of 13.5 percent.
- 7. True or False: The percent increase in the number of brushes sold from one week to the next is 10%.
- 8. True or False: The total charge for 300 pieces of lumber, each measuring 2 inches thick, 6 inches wide, and 12 feet long, is \$504.
- 9. True or False: Segmenting organizations by turnover is not a useful method for understanding their characteristics.
- 10. True or False: Encoding is the part of the communication process that involves the responses offered by receivers to a message.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Calculate the total price of a dress originally priced at \$47.50 after a 30% markdown and a 6% sales tax. Discuss the implications of pricing strategies and consumer behavior in this context.
- 12. Using the Vasicek model, analyze the provided bond prices and determine the short rate r^* for the period from time 2 to 4. Discuss the implications of your findings.

End of Paper